

DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS FOR SAN SEBASTIAN SUBDIVISION

This Declaration of Covenants, Conditions and Restrictions for SAN SEBASTIAN SUBDIVISION (“**Declaration**”) is made effective on the 1st day of July 2025, by MESA-BEGA DEVELOPMENT, LLC, a Texas limited liability company (“**Declarant**”), and supersedes all previously recorded restrictions.

RECITALS

WHEREAS, Declarant is the owner of real property described in **EXHIBIT A** known as SAN SEBASTIAN SUBDIVISION (“**Subdivision**”).

WHEREAS, Declarant desires to place certain restrictions, easements, covenants, conditions, stipulations and reservations contained in this Declaration upon and against the Subdivision in order to establish a uniform plan for its development and improvement, and to insure the preservation of such uniform plan for the benefit of both the present and future Owners of Lots (as defined herein) in the Subdivision.

NOW THEREFORE, Declarant hereby adopts, establishes and imposes upon the Subdivision the following reservations, easements, restrictions, assessments, liens, covenants and conditions, which shall run with the land and title or interest therein, or any part thereof, and shall inure to the benefit of each Owner in the Subdivision as a whole, whether or not set out in full or incorporated by reference in any deed or other instrument of conveyance.

ARTICLE I DEFINITIONS

Section 1.01. “Additional Property” means the real property described in **EXHIBIT B** attached hereto and incorporated herein by reference, which may, at the sole and absolute discretion of the Declarant, be annexed in whole or in part to the Property and subjected to the provisions of this Declaration in accordance with Article II hereof.

Section 1.02. “Assessment” means a regular assessment or special assessment, or other amount an Owner is required to pay to the Association under this Declaration or other dedicatory instrument described herein.

Section 1.03. “Association” refers to SAN SEBASTIAN HOMEOWNERS ASSOCIATION, INC., a Texas Nonprofit Corporation, and its successors and assigns, which is designated as the representative of Owners in the Subdivision, whose membership consists of Owners, and manages and regulates the Subdivision for the benefit of the Owners.

Section 1.04. “Architectural Control Committee” or “ACC” shall mean a committee appointed by the Board of Directors to approve or disapprove improvements to be constructed on a Lot pursuant to this Declaration and duly adopted Design Guidelines.

Section 1.05. "Board of Directors" refers to the governing body of the Association.

Section 1.06. "Bylaws" shall mean the duly adopted bylaws of the Association as the same may be amended from time to time. The current Bylaws are attached to this Declaration as **EXHIBIT C** and are fully incorporated herein.

Section 1.07. "Collection agent" means a debt collector, as defined by Section 803 of the federal Fair Debt Collection Practices Act (15 U.S.C. Section 1692a).

Section 1.08. "Common Area" means all property within the Subdivision not designated as a Lot on the Plat and that has not been accepted for maintenance by the applicable governmental body. Declarant will convey the Common Area to the Property Owners' Association.

Section 1.09. "Contractor" refers to the person or entity with whom Declarant or an Owner contracts to construct a residential dwelling and other improvements on a Lot.

Section 1.10. Classes of Membership. The Association has two classes of membership:

- (a) "Class A Members" are the Owners;
- (b) "Class B Member" is the Declarant, its successors and assigns.

Section 1.11. "Declarant Control Period" shall mean and refer to the period of time during which the Class "B" Member is entitled to appoint and remove the members of the Board of Directors and the officers of the Association, other than Board members or officers elected by Members of the Association pursuant to the Bylaws.

Section 1.12. "Declaration" refers to this Declaration of Covenants, Conditions and Restrictions for the Subdivision, and any duly passed and recorded amendments that include restrictive covenants governing the Subdivision.

Section 1.13. "Dedictory instrument" means each governing instrument covering the establishment, maintenance, and operation of the Subdivision. The term includes the Declaration, Bylaws, Architectural Control Guidelines, Rules and Regulations, Open Records and Records Retention Policies, and Alternative Payment Schedule, and all lawful amendments. All dedicatory instruments shall have no effect until filed in the real property records of each county in which the Subdivision is located.

Section 1.14. "Development Period" means the period in which Declarant reserves a right to facilitate the development, construction, and marketing of the Subdivision.

Section 1.15. "Lot" refers to any designated parcel of land in the Subdivision including any improvements.

Section 1.16. "Maintenance Charge" means assessments or charges hereby levied, together with such interest thereon and costs of collection thereof, as hereinafter provided, and shall be a

charge on the Lots and shall be a continuing lien upon the Lot against which each such Maintenance Charge and other charges and assessments are made.

Section 1.17. "Maintenance Fund" shall mean the Association's accumulation of funds from Regular and Special Assessments, as well as income and revenue from other legitimate sources, as prescribed in this Declaration.

Section 1.18. "Managing Agent" means the Association's designated representative as it appears on the Management Certificate.

Section 1.19. "Management Certificate" means the instrument required to be recorded pursuant to Section 209.004 of the Texas Residential Property Owners Protection Act.

Section 1.20. "Member" refers to every Owner or entity which holds membership in the Association by virtue of its ownership of a Lot.

Section 1.21. "Owner" means a person who holds record title to a Lot, and includes the personal representative.

Section 1.22. "Plat" shall refer to the plats of the Subdivision recorded as Document Nos. 15134 through 15136 of the Map and Plat Records of Cameron County, Texas.

Section 1.23. "Regular Assessment" means an assessment, charge, fee, or dues that each Owner is required to pay to the Association on a regular basis and that is designated for use by the Association for the benefit of the Subdivision, as provided herein.

Section 1.24. "Rules and Regulations" or "Rules" mean the Rules and Regulations of the Association as may be amended from time to time.

Section 1.25. "Special assessment" means an assessment, charge, fee, or dues, other than a regular assessment that each Owner is required to pay to the Association for defraying in whole or in part, the cost, whether incurred before or after the assessment, of any construction or reconstruction, unexpected repair, or replacement of a capital improvement in Common Areas, including the necessary fixtures and personal Subdivision related to the Common Areas; maintenance and improvement of Common Areas; or other purposes the Association as stated in its Certificate of Formation, or dedicatory instruments of the Subdivision.

Section 1.26. "Texas Residential Property Owners Protection Act" or "The Act" shall refer to Texas Property Code Chapter 209, as same may be amended or repealed in whole or in part.

Section 1.27. "Transfer Fee" means dues, a fee, a charge, an assessment, a fine, a contribution, or another type of payment under this Declaration, other dedicatory instrument, or under law, including a fee or charge payable for a change of ownership entered in the records of the Association.

Section 1.28. “Technology Charge” means the monthly broadband service charge collected by the Association from each Lot Owner to fund subdivision-wide telecommunication service as further described in Section 6.03.

Section 1.29. “Connection Fee” means the one-time fee due upon substantial completion of construction on a Lot, for the purpose of funding individual lot access to the subdivision-wide broadband network.

Section 1.30. “Telecommunication Services” means internet, television, and/or voice (phone) services provided under a subdivision-wide service agreement between the Association and a third-party provider (currently Spectrum).

ARTICLE II RESERVATIONS, EXCEPTIONS AND DEDICATIONS

Section 2.01. Plats. The Plats subject the Subdivision to the limitations as set forth therein, and the roads, streets, and easements shown thereon. The Plats further establish certain restrictions applicable to the Subdivision. All dedications, restrictions and reservations created in this Declaration or shown on the Plat, re-plats or amendments of the Subdivision recorded or hereafter recorded shall be construed as being included in each Lot, deed or conveyance executed or to be executed, whether specifically referred to therein or not.

Section 2.02. Utility Easements. The Declarant has reserved for public use the utility easements hereafter referred to as “general easements” shown on the Plats or that have been or hereafter may be created by separate instrument recorded in the Official Public Records of Cameron County, Texas, for the purpose of constructing, maintaining and repairing a system or systems of electric lighting, electric power, telegraph and telephone line or lines, storm surface drainage, cable television, or any other utility installed in, across and/or under the Subdivision. All utility easements in the Subdivision may be used for the construction of drainage swales in order to provide for improved surface drainage of the Common Area and/or Lots. Should any utility provider furnishing a service covered by the general easement herein provided for request a specific easement by some recordable document, the Association, without the joinder of any other Owner, shall have the right to grant such easement on the Subdivision without conflicting with the terms hereof. Any utility provider serving the Subdivision shall have the right to enter upon any utility easement for the purpose or installation, repair and maintenance of their respective facilities. Neither the Association nor any utility provider, political subdivision or other authorized entity using easements herein referred to shall be liable for any damages done by them or their assigns, agents, employees, or servants, to fences, shrubbery, trees and lawns of the Owner on the Subdivision covered by these easements.

Section 2.03. Title Subject to Easements. It is expressly agreed and understood that the title conveyed to any of the Lots by deed or other conveyance shall be subject to any easement affecting same for roadways or drainage, electric lighting, electric power, or telephone purposes, and other easements hereafter granted affecting the Lots. The Owners of the respective Lots shall not be deemed to own pipes, wires, conduits or other service lines running through their Lots which are utilized for or service to other Lots, but each Owner shall have an easement over and to the

aforesaid facilities as shall be necessary for the use, maintenance and enjoyment of his Lot. The Association may convey title to said easements to the public or a utility provider.

Section 2.04. Association's Easements. The Association hereby reserves an easement that allows access to an Owner's Lot to remedy a violation of this Declaration or other Association dedicatory instruments; however, the Association may not amend this Declaration or other dedicatory instrument to grant itself additional easements through or over an Owner's Lot without the consent of the Owner.

Section 2.05. Rights of the Declarant. While Declarant has submitted all of the Property to the terms and provisions of the Declaration, the Additional Property may be developed in phases and consequently only those phases which are completed, platted and affirmatively annexed to and made subject to this Declaration shall comprise the Lots. Declarant hereby reserves the right, but not the obligation, to be exercised in its sole discretion, to designate the boundaries of all Lots and Common Areas in the Subdivision as they are developed and platted and to construct improvements thereon, Declarant shall have the right, but not the obligation, to make improvements and changes to all Common Area and to all Lots owned by Declarant, including, without limitation, (i) installation and maintenance of any improvements in and to the Common Areas, (ii) changes in the location of the boundaries of any Lot owned by the Declarant or of the Common Area, (iii) installation and maintenance of any storm drainage system and water, sewer and other utility systems and facilities; and (iv) installation of security and/or refuse facilities. In accordance with the preceding, Declarant reserves the right to record, modify, amend, revise and add to, at any time and from time to time, plats of survey for the Subdivision, setting forth such information as Declarant may deem necessary with regard to the Subdivision, including without limitation, the locations and dimensions of the Lots, Common Area, Additional Property, roads, utility easements and systems, drainage easements and systems, right-of-way easements, and setback line restrictions.

Section 2.06. Submission of Additional Property. Declarant shall have the option and right, but not the obligation, from time to time, without the necessity of consent by the Association, the Board or the Owners, but subject to Section 2.07 of this Article, to submit all or portions of the Additional Property to this Declaration and thereby to cause the Additional Property, or such portions thereof as may be submitted, to become part of the Subdivision. This option may be exercised by the Declarant in accordance with the conditions and limitations set out in Section 2.06 of this Article, which are the only conditions and limitations on such right.

(a) Conditions of Annexation. Any Annexation as permitted in Section 2.06 of this Article shall be in accordance with the following terms and conditions:

(i) The option to submit portions of the Additional Property may be exercised at any time and from time to time until ten (10) years from the date this Declaration is recorded; provided, however, that the Owners of Lots to which a majority of the Class A votes in the Association appertain, exclusive of any vote or votes appurtenant to Lots then owned by Declarant, may consent to the extension of such option by vote taken not more than one (1) year prior to the date upon which such option will expire.

(ii) The Additional Property is set forth in **EXHIBIT B**. Portions of the Additional Property may be added at different times, and there are no limitations fixing the boundaries of those portions or regulating the order in which any such portions may become part of the Property.

(iii) All lots created on portions of the Additional Property which are added to the Property will be restricted exclusively to residential purposes, in accordance with Article IV of this Declaration, unless otherwise used as Common Area.

(iv) If the Additional Property or any portion thereof is subjected to this Declaration, Declarant reserves the rights to designate the boundaries of the Lots and Common Area, if any, in accordance with Article II, section 2.05 of this Declaration.

(v) The option reserved by section 2.06 of this Article may be exercised by the Declarant alone (without the consent of The Association or any Owner) by the execution by the Declarant of an amendment to this declaration which shall be filed for record in the Official Records of Cameron County, Texas. Any such amendment shall expressly submit that portion of the Additional Property which is to become part of the Subdivision, and upon the exercise, if any, of such option. The provisions of this Declaration shall be understood and construed as embracing all of the Subdivision, including the initial phase and such portions of the Additional Property as have become part of the property by annexation.

(vi) In addition to the procedure outlined above, the option reserved by section 2.06 of this article may be exercised with respect to any portions of the Additional Property, notwithstanding that such additional Property may be owned by persons, including any individual, individuals, corporations, partnerships or any other type of entity, other than Declarant. Declarant shall exercise this option by an amendment expressly submitting such property to this Declaration, which amendment shall be filed for record in the Official Records of Cameron County, Texas. Any such amendment shall contain a statement consenting to the annexation of any such Additional Property, together with a reference to the Declaration (citing the specific Deed Book and Page in which such Declaration is recorded), executed by the owner or owners thereof submitting such Additional Property to this Declaration. Upon exercise of the foregoing procedure, the provisions of this Declaration shall be understood and construed as embracing all of the property, including the initial phase and such portions of the Additional Property as have become part of the Property by annexation in this manner.

(vii) Should the option to add Additional Property or any portions thereof, not be exercised within the term specified herein or be otherwise released or terminated by Declarant, Declarant shall not be obligated to impose on the

Additional Property or any portion thereof any covenants, conditions or restrictions whatsoever.

(b) Effect of Annexation.

(i) From and after the date of annexation of any portion of the Additional Property, each Lot so added to the Subdivision and the Owners thereof, shall have the same vote, shall share the same obligations and responsibilities, and shall have the same rights and privileges afforded every other Lot previously comprising part of the Subdivision. Upon annexation of each portion of the property, as herein provided, the Association shall be deemed to have assumed, automatically, and without the necessity of consent by the Association, the Board or any individual Owners, the covenant to maintain the Common Area and the other obligations imposed by this Declaration, as amended from time to time, with respect to that portion of the Additional Property which is then the subject of annexation.

(ii) Each Owner, by acceptance of a deed to a Lot in the Property, and the Association, shall be deemed to have approved annexation in the manner provided in this Article.

(c) Proposed or Future Development of Additional Property. Notwithstanding any other provision contained in this Declaration, or any language contained upon any plat of survey of the Development, Declarant is under no obligation to submit any portion of the Additional Property to the Declaration, or to develop any portion of the Additional Property. Any references to “proposed” or “future” development are for the Declarant's reference only, and any portion of the Additional Property may be developed by Declarant as Declarant in its sole discretion sees fit.

(d) Withdrawal of Property. Declarant reserves the right to amend this Declaration unilaterally at any time so long as Declarant holds an unexpired option to expand the Development pursuant to this Article, without prior notice and without the consent of any Person, for the purpose of removing certain portions of the Development then owned by the Declarant from the provisions of this Declaration to the extent originally included in error or as a result of any changes whatsoever in the plans for the Development desired to be effected by the Declarant.

ARTICLE III THE ASSOCIATION

Section 3.01. Membership. Every person or entity which is a record owner of any Lot which is subject to the Maintenance Charge and other assessments provided herein, shall be a Member of the Association. The foregoing is not intended to include persons or entities which hold an interest merely as security for the performance of an obligation or those having only an interest in the mineral estate. No Owner shall have more than one membership for each Lot owned by such Member. Memberships shall be appurtenant to and may not be separated from the

ownership of the Lots. Regardless of the number of persons who may own a Lot (such as husband and wife, or joint tenants, etc.) there shall be but one membership for each Lot.

Additionally, after the expiration of the Declarant Control Period, the Directors of the Association must be Members of the Association. Ownership of the Lots shall be the sole qualification for membership. The voting rights of the Members are set forth in the Bylaws of the Association. Membership is not intended to include persons who hold an interest merely as security for the performance of an obligation, and the giving of a security interest shall not terminate the Owner's membership. The rights and privileges of membership, including the right to vote, may be exercised by a Member or the Member's designated representative.

Section 3.02. Classes of Membership. The Association shall have two (2) classes of membership as follows:

(a) Class "A". Class "A" Members shall be all Lot Owners with the exception of the Class "B" Member.

(b) Class "B". The Class "B" Member shall be Declarant and any successor of Declarant who takes title for the purposes of development and sale of Lots in the Subdivision.

Section 3.03. Voting. Class "A" Members shall be entitled to one (1) vote for each Lot of which they are record Owner. Class "B" Member shall be entitled to ten (10) votes per Lot owned. The Class "B" membership shall terminate and be converted to Class "A" on or before the 120th day after the date seventy-five percent (75%) of the Lots that may be made subject to this Declaration are conveyed to Class "A" Members.

Section 3.04. Appointment of Board of Directors. During the Declarant Control Period, the Class "B" Member is entitled to appoint and remove the members of the Board of Directors and the officers of the Association. Notwithstanding, at least one-third (1/3) of the members of the Board shall be elected by the Owners other than the Declarant not later than the tenth (10th) anniversary after this Declaration was recorded in the Official Public Records of Real Property of Cameron County, Texas.

Section 3.05. Nonprofit Corporation. SAN SEBASTIAN HOMEOWNERS ASSOCIATION, INC., a nonprofit corporation, has been or shall be organized and it shall be governed by the Chapter 22 of the Business Organizations Code, the Certificate of Formation, and Bylaws of the Association; and all duties, obligations, benefits, liens and rights hereunder in favor of the Association shall vest in said corporation.

Section 3.06. Bylaws. The Association has adopted Bylaws attached hereto as **EXHIBIT C**, to govern the organization or operation of the Subdivision and the use and enjoyment of the Lots and Common Area; provided that the same are not in conflict with the terms and provisions in this Declaration.

Section 3.07. Owner's Right of Enjoyment. Every Owner shall have a beneficial interest of use and enjoyment in and to the Common Areas and such right shall be appurtenant to and shall pass with the title to every Lot, subject to the following provisions:

- (a) This Declaration, as it may be amended from time to time;
- (b) Any restrictions or limitations contained in any deed conveying additional Common Area to the Association;
- (c) The right of the Board to limit the number of guests who may use the Common Area, and to adopt other Rules and Regulations regulating the use and enjoyment of the Common Area;
- (d) The right of the Board to suspend the right of an Owner to use any recreational facilities within the Common Area for any period during which any Assessment or portion thereof owed by such Owner remains delinquent, and for a period not to exceed sixty (60) days for a single violation, or for a longer period in the case of any continuing violation, of the Declaration, Bylaws, or Rules and Regulations of the Association;
- (e) The right of the Association, acting through the Board, to dedicate or transfer all or any part of the Common Area, subject to the approval of sixty-seven percent (67%) of the votes of all Members eligible to vote;
- (f) The right of the Board to impose reasonable membership requirements and charge reasonable admission or other fees (which fees shall be separate from Assessments) for the use of any recreational facility situated upon the Common Area;
- (g) The right of the Board to permit non-Member use of any recreational facility situated on the Common Area upon payment of user fees established by the Board;
- (h) The right of the Association, acting through the Board, to mortgage any and all of its real or personal property as security for money borrowed or debts incurred, subject to the approval of sixty-seven percent (67%) of the votes of all Members eligible to vote;
- (i) All easement rights necessary or desirable for the Association to perform its duties and enforce this Declaration;
- (j) The right of the Association, acting through the Board, to grant easements pursuant to this Declaration; and
- (k) The right of the Association, acting through the Board, to enter into and execute contracts with any party for the purpose of providing maintenance or other materials or services consistent with the purposes of the Association and this Declaration.

Section 3.08. Delegation of Rights. Any Owner may delegate his or her right of enjoyment of the Common Area to the members of his or her family, tenants, customers, clients, employees, agents, contractors, business, and social and business invitees subject to reasonable regulation by the Board and in accordance with procedures the Board may adopt. Every Owner shall have the right to ingress and egress over, upon, and across the Common Area necessary for

access to any portion his or her Lot, and such rights shall be appurtenant to and pass with the title to each Lot.

Section 3.09. Declarant's Rights in Common Area. Declarant may retain the legal title to easements or fee simple parcels designated as Common Area. Declarant may, at any time after the date hereof, convey legal title to all or a portion of such Common Area to the Association. The Association shall be obligated to accept title to, operate and maintain the Common Area conveyed to the Association as elsewhere provided in this Declaration; provided, however, such Common Area shall be conveyed to the Association by Declarant free and clear of all encumbrances, except such encumbrances as may be set forth herein or on any recorded plat of the Subdivision.

ARTICLE IV USE AND CONSTRUCTION RESTRICTIONS

Section 4.01. Use. Each Lot in the Subdivision shall be used only for residential related purposes as set forth below. The Association, acting through the Board of Directors and Architectural Control Committee shall have the right and power to enforce the restrictions contained in this Declaration and all other dedicatory instruments.

Section 4.02. Single Family Residential Construction. Except as provided below, no building shall be erected, altered, placed or permitted to remain on any Lot other than one dwelling unit per each Lot to be used for single family residential purposes. Buildings must contain a minimum of **1,300 sq. ft.** of living area, be no higher than 2-stories, and the exterior shall consist of at least seventy-five percent (75%) masonry, stucco or brick. All dwellings must conform to the Architectural Control Guidelines and approved by the ACC prior to construction. Any improvement commenced on any Lot shall be completed as to exterior finish and appearance within six (6) months from the construction commencement date. All garages must be **two (2) door** enclosed garages, unless otherwise approved by the ACC, and must be of the same general construction as the main dwelling, and located on the Lot according to the building site plan approved by the ACC.

Section 4.03. Composite Building Site. Any Owner of one or more adjoining Lots (or portions thereof) may, with the prior written approval of the ACC, and with approval of the City of San Benito and/or Cameron County permitting department, if required, consolidate such Lots, with the privilege of placing or constructing improvements on such resulting site, in which case the side set-back lines shall be measured from the resulting side Subdivision lines rather than the Lot lines as indicated on the Plat.

Section 4.04. Use of Temporary Structures. No structure of a temporary or permanent character, whether trailer, motor home, mobile home, basement, tent, shack, garage, barn or other outbuilding shall be maintained or used on any Lot at any time as a residence, either temporarily or permanently.

Section 4.05. Walls, Fences and Mail Boxes. All walls and fences must be approved prior to construction by the ACC, and shall not be closer to front street Subdivision lines than the front line of the main home located on the Lot and no closer than the rear Lot boundary line or side

street lines, as shown on the Plat. Wire, chain link, hurricane, wrought iron, block, or brick walls or fences shall not be permitted. All fences must be constructed of cedar wood and stained a neutral brown with Bear premium translucent water proof sealant, and must be six feet (6') in height.

Section 4.06. Prohibition of Offensive Activities. No activity, whether for profit or not, shall be conducted on any Lot which is not related to single family residential purposes, unless said activity meets the following criteria: (a) no additional exterior sign of activity is present, (b) it is the type of action that usually happens in a home, (c) no additional traffic, that would not be there normally is created, and (d) nothing dangerous is present. The Association shall have the sole and absolute discretion to determine what constitutes a nuisance or annoyance.

Section 4.07. Garbage and Trash Disposal. Garbage and trash or other refuse shall not be permitted to be dumped at any place upon the Subdivision or adjoining land. No Lot shall be used or maintained as a dumping ground for rubbish. Trash, garbage or other waste shall not be allowed to accumulate, shall be kept in sanitary containers and shall be disposed of regularly. All equipment for the storage or disposal of such material shall be kept in a clean and sanitary condition and in a location where it is not visible from the street. Residents may place brush and large items at the curb no earlier than five (5) days prior to the opening of the designated pickup window, as posted or notified by the Association. Items must be placed in accordance with City guidelines and must not obstruct sidewalks, driveways, drainage, or street access. Residents shall not leave brush, furniture, appliances, or other large items at the curb outside the allowable window. Prolonged curbside storage of such items may result in dried brush blowing into the streets or unsightly and unsafe conditions within the Subdivision. The Association may issue violation notices or fines for items left curbside in violation of this Section and may remove improperly placed items at the Owner's expense.

Section 4.08. Roof Shingles. Subject to this section, and approval by the ACC, Owners may install shingles that are designed to be wind and hail resistant, provide heating and cooling efficiencies greater and are more durable than those provided by customary composition shingles, and/or provide solar generation capabilities; however, when installed, they must resemble the shingles used or otherwise authorized for use on improvements on Lots in the Subdivision, and match the aesthetics of the Subdivision. Otherwise, Owners may install 25-year asphalt shingles, metal, tile or slate roofing.

Section 4.09. Flags and Flagpoles. Subject to this section, and approval by the ACC, Owners may display a flag of the United States of America, the flag of the State of Texas, or an official or replica flag of any branch of the United States armed forces. The flag of the United States shall only be displayed in accordance with 4 U.S.C. Sections 5-10, which qualify the times and occasions for the flag's display, the position of the flag, and respect for it. The flag of the State of Texas shall only be displayed in accordance with Chapter 31 of the Texas Government Code. A flagpole attached to a dwelling or a freestanding pole is to be constructed of permanent, long-lasting materials, with a finish appropriate to the materials used in the construction of the flagpole and harmonious with the dwelling on the Lot. The display of the flag, and its location and construction of the supporting flagpole shall comply with appropriate ordinances, easements and setbacks of record, and a displayed flag and flagpole on which it is flown shall be maintained in good condition. Any deteriorated flag or structurally unsafe flagpole shall be repaired, replaced

or removed. A flagpole attached to the dwelling on a Lot may not exceed six (6) feet in height. A freestanding flagpole shall not exceed twenty (20) feet in height, measured from the ground base to the top of the flagpole. Illumination of permitted flags must be sub-surface and not exceed 200 watts, and positioned in a manner not directed toward and adjacent Lot. A flag displayed on a freestanding flagpole shall not be more than ten (10) feet in height, and a flag displayed on a flagpole attached to a dwelling shall be no more than three (3) by five (5) feet. No more than one of each permitted flags may be displayed on a flagpole at any time. Owners may not install flagpoles or display flags in the Common Area without the express written consent of the Association.

Section 4.10. Religious Item Displays. Subject to this section, and approval by the ACC, Owners may display or affix on the entry to the Owner's dwelling one or more religious items, the display of which is motivated by the Owner's or resident's sincere religious belief. No religious item may individually or in combination exceed twenty-five (25) square inches, and shall not extend past the outer edge of the door frame of the dwelling. Notwithstanding the foregoing, the display or affixation of a religious item on an Owner's dwelling that threatens public health or safety, violates a law, or contains language, graphics, or any display that is patently offensive to a passerby is prohibited. This section does not authorize an Owner to use a material or color for an entry door or door frame, or make an alteration to the door or door frame of the Owner's dwelling that is not authorized by the ACC and Design Guidelines. The Association may remove an item displayed in violation of this section.

Section 4.11. Solar Energy Devices. Subject to this section, and approval by the ACC within forty-five (45) days of submission of a plan, Owners may install solar energy devices on the roof of the dwelling or other permitted improvement on a Lot, or in a fenced yard or patio not taller than the fence line. As used in Section 202.010 of the Texas Property Code, "solar energy device" has the meaning assigned by Section 171.107 of the Tax Code, which defines the term as "a system or series of mechanisms designed primarily to provide heating or cooling or to produce electrical or mechanical power by collecting and transferring solar generated power". The term includes a mechanical or chemical device that has the ability to store solar-generated energy for use in heating or cooling or in the production of power. A solar energy device is not permitted anywhere on a Lot except on the roof of the residential dwelling or other permitted structure on the Lot or in a fenced yard or patio within the Lot. A solar energy device may not extend higher than the dwelling's or other permitted improvement's roofline, and shall conform to the slope of the roofline, shall have a frame, support bracket, or visible piping that is a silver, bronze, or black tone commonly available in the marketplace, and shall be located on a roof as designated by the ACC, unless an alternate location increases the estimated annual energy production of the device by more than ten percent (10%) above the energy production of the device if located in the area designated by the ACC. For determining estimated annual energy production, the parties shall use a publicly available modeling tool provided by the National Renewable Energy Laboratory. A solar energy device located in a fenced yard or patio shall not be taller than or extend above the fence enclosing the yard or patio. A solar energy device shall not be installed on a Lot in a manner that voids material warranties. A solar energy device that, as adjudicated by a court threatens the public health or safety, violates a law, or is located in the Common Area is prohibited. The ACC may not withhold approval if the guidelines of this section are met or exceeded, unless the ACC determines in writing that placement of the device as proposed constitutes a condition that

substantially interferes with the use and enjoyment of land by causing unreasonable discomfort or annoyance to persons of ordinary sensibilities. The written approval of the proposed placement of the device by all Owners of property adjoining the Lot in question constitutes *prima facie* evidence that substantial interference does not exist. During the Development Period, Declarant may prohibit or restrict an Owner from installing a solar energy device.

Section 4.12. Rain Barrels and Rain Harvesting Systems. Section 202.007 of the Texas Property Code prohibits the Association and ACC from enforcing a provision that prohibits or restricts an Owner from installing rain barrels or a rain harvesting system on the Owner's Lot. However, Section 202.007 of the Texas Property Code further provides that the Association is not required to permit a rain barrel or rainwater harvesting system to be installed on a Lot in particular circumstances or restricted from regulating rain barrels and rain harvesting devices in specified manners, as follows: No rain barrel or rainwater harvesting system shall be permitted in the Common Area or located on a Lot between the front of the dwelling and an adjoining or adjacent street, be of a color inconsistent with the color scheme of the Owner's dwelling, display any language or other content that is not typically displayed by a barrel or system as it is manufactured. The Design Guidelines shall regulate the size, type and shielding of, and the materials used in the construction of, a rain barrel, rainwater harvesting device, or other appurtenance that is located on the side of a dwelling or any other location that is visible from a street, another Lot, or the Common Area, if it does not prohibit the economic installation of the device or appurtenance on the Owner's Lot. There must be a reasonably sufficient area on a Lot to install these devices and appurtenances.

Section 4.13. Signs. Owners may display on the Owner's Lot one or more signs advertising a political candidate or ballot item for an election on or after the ninetieth (90th) day before the date of the election to which the sign relates or ten (10) days after that election date. Signs shall be ground-mounted and display only one sign for each candidate or ballot item. Any sign that contains roofing material, siding, paving materials, flora, one or more balloons or lights, or any other similar building, landscaping, or nonstandard decorative components, is attached in any way to plant material, a traffic control device, a light, a trailer, a vehicle, or any other existing structure or object, includes the painting of architectural surfaces, threatens the public health or safety, is larger than four (4) feet by six (6) feet, violates a law, contains language, graphics, or any display that would be offensive to the ordinary person, or is accompanied by music or other sounds or by streamers or is otherwise distracting to motorists is prohibited. The Association may remove a sign displayed in violation of this section.

Section 4.14. Laws and Ordinances. Owners, their lessees, guests, and invitees, shall comply with all laws, ordinances, and statutes applicable to their Lot and the Subdivision, and any violation may be considered a violation of this Declaration or other dedicatory instrument.

Section 4.15. Pets and Animals. No animals, livestock, or poultry of any kind shall be raised, bred, or kept on any Lot, except that a reasonable number of dogs, cats, or other small household pets may be kept, provided they are not kept, bred, or maintained for any commercial purpose and provided further that no exotic, aggressive or vicious dogs, such as pit bulldogs and rottweiler dogs, shall be kept on any Lot. Dog runs, outside dog houses, or other such outside animal shelters may only be placed in the backyard and in such a manner as not to be seen from the street. Dogs and other outdoor pets must be kept fenced in the backyard and are not permitted

to run free. All pet owners will abide by the City of San Benito ordinances, as they may be amended from time to time, concerning pets and keep their pets on a leash when outside the backyard of a Lot. The ACC, in its sole discretion, shall have the final determination as to the reasonableness of the number recognized household pets permitted on a Lot, and whether an animal is determined exotic or inherently aggressive or vicious. No Owner, resident, tenant, guest, or invitee shall intentionally feed or provide food, scraps, or water to any feral cat, stray dog, pigeon, wild bird, or other non-domesticated or nuisance animal within the Subdivision, whether on private Lots or in Common Areas.

Section 4.16. Landscaping. No construction or alteration of any structure or landscaping shall take place without the prior written approval by the ACC of plans and specifications for the landscaping, construction, or alteration. All front yards and side yards on all Lots, up to the wing wall that extends from the side of the house to the side property line, must be sodded prior to occupancy of the house. Side yards on corner Lots must be sodded the full length of the property line adjacent to the street. After sodding, all yards must be maintained with grass or landscaping in a neat and well-mown, trimmed condition, free of unsightly weeds and overgrowth, and all trees, shrubs, vines, and plants which die shall be promptly removed. All yard areas shall be kept in a sanitary, healthful, and attractive manner. Lawns, front and back, must be mowed at regular intervals and never permitted to exceed six inches (6") in height. The front yard area of each improved Lot forward of the front wall line of the residence thereon, and the side yard area adjoining a street of each corner Lot, shall be kept regularly watered. Each improved Lot must include a permanently installed automatic sprinkler system covering the entire front yard and all side yards adjacent to a street. The system shall be maintained in good working order and operated as necessary to maintain healthy turf and landscaping. Before a residence constructed on the Lot is completed, the Owner shall plant in the front yard of the Lot and shall thereafter maintain and, if necessary, replace at least two (2) trees approved by the ACC of at least three (3) inch caliper. Palm trees are not permitted in any yard or landscaped area of the Lot.

Section 4.17. Clotheslines. No clotheslines shall be permitted outside of any home, unless a fence has been constructed and the clothesline is not visible by any street or adjoining Lot.

Section 4.18. Holiday Decorations. Exterior holiday decorations, including lighting, inflatables, statues, signs, or other festive displays, may not be installed more than fourteen (14) days prior to the recognized holiday and must be removed no later than fourteen (14) days following the holiday's conclusion. Decorations must be maintained in good condition and shall not create a safety hazard, cause damage to property, or unreasonably interfere with neighboring Lots. The Board or its designee may require removal of any decorations that are excessively loud, bright, damaged, or otherwise deemed a nuisance. This Section does not affect the ACC's authority to adopt or enforce aesthetic guidelines.

Section 4.19. Parking. Except for temporary parking by commercial vehicles not owned or controlled by an Owner or by an Owner's guest or invitee, there shall be no long-term (more than six (6) hours) parking of vehicles on any street. All vehicles shall be restricted to parking within the garage or driveway. Inoperable vehicles, including vehicles that are unregistered, not

roadworthy, or visibly damaged, must be stored inside a fully enclosed garage or in an enclosure approved by the ACC that renders the vehicle completely out of public view. No inoperable vehicle shall be left exposed on any driveway, street, or Lot in a manner visible from any public right-of-way, Common Area, or adjacent Lot.

Section 4.20. Sidewalks. Every Owner is responsible for the maintenance and upkeep of any sidewalk constructed or placed on any the Owner's Lot.

Section 4.21. Trucks, Busses, Trailers and ATVs. No trucks, trailers, or commercial vehicle of any kind shall be left in the street in front of any Lot except for those relating to the construction or repair of a residence during the limited periods of construction and repair, and no truck (except pick-up trucks), bus, boat, trailer, ATV, recreational vehicle, or inoperable vehicle shall be parked on any street, driveway or any portion of the Lot in such manner as to be visible from the street.

Section 4.21. Transfer Restrictions. No Lot may be sold, conveyed, assigned, or otherwise transferred unless and until the Owner or transferor has obtained the written approval of the Association's Management Agent, with such approval not to be unreasonably withheld, conditioned or delays. Notwithstanding the foregoing, approval may be conditioned upon verification that any improvements constructed on a Lot comply with requirements or guidelines of the ACC, payment of all outstanding assessments, fees, or charges associated with the Lot, including but not limited to any Transfer Fee, Connection Fee, prepaid assessments, and the submission of requested documentation necessary to update ownership records. Any attempted transfer in violation of this provision shall be voidable at the election of the Association, and the Association may withhold the issuance of resale certificates or other documentation until compliance is achieved. Nothing herein shall be construed to waive or limit the Association's right to collect all amounts due as a condition of approving any transfer.

ARTICLE V ARCHITECTURAL CONTROL

Section 5.01. Basic Control. No building or other improvements of any character shall be erected or placed, or the erection or placing thereof commenced or changes made in the design or exterior appearance thereof (including, without limitation, painting staining or siding) or any addition or exterior alteration made thereto after original construction or demolition or destruction by voluntary action made thereto after original constructed, on any Lot in the Subdivision until the obtaining of the necessary approval (as hereinafter provided) from the ACC of the construction plans and specification for the construction or alteration of such improvements or demolition or destruction of existing improvements by voluntary action. Approval shall be granted or withheld based on matters of compliance with the provisions of this instrument. Each application made to the ACC shall be accompanied by two (2) sets of plans and specifications for all proposed construction (initial or alteration) to be done on such Lot, including plot plans showing location on the Lot.

Section 5.02. Architectural Control Committee. The authority to grant or withhold architectural control approval as referred to above is in the Architectural Control Committee

composed of three (3) Members of the Association, who shall be appointed annually by the Board. The ACC shall have exclusive jurisdiction over all original construction on the Lots and over modifications, additions, or alterations made on or to the improvements on the Lots. During the Development Period, the ACC shall be appointed by Declarant.

Section 5.03. Design Guidelines. The ACC may adopt such standards or guidelines (“Design Guidelines”) as it determines for the construction or alteration of improvements on the Lots and for landscaping, and establish application and review procedures for submitted plans. If adopted, the ACC shall make the Design Guidelines available to Owners and Contractors who seek to engage in construction upon a Lot and who shall conduct their operations strictly in accordance therewith. The ACC may establish and charge reasonable application fees for its review of plans.

Section 5.04. Consulting Professionals. The ACC is authorized, but not obligated, to retain the services of consulting professionals such as building architects, landscape architects, urban designers, engineers, inspectors, and/or attorneys in order to advise and assist the ACC in performing its functions set forth herein. The costs of the services of such consultants shall be an Owner expense if required for services regarding plans submitted for the Owner’s Lot, except to the extent such costs are covered by a plan review fee established by the ACC, if it elects to establish such a fee.

Section 5.05. Effect of Approval. The granting of the approval shall constitute only an expression of opinion by the ACC that the terms and provisions hereof shall be complied with if the building and/or other improvements are erected in accordance with said plans and specifications and plot plan; and, such approval shall not constitute any nature of waiver or estoppel either as to the persons expressing such approval or any other person in the event that such building and/or improvements are not constructed in accordance with such plans and specifications and plot plan but, nevertheless, fail to comply with the provisions hereof. Further, no person exercising any prerogative of approval or disapproval shall incur any liability by reasons of the good faith exercise thereof.

Section 5.06. Appointment of ACC; Authority of Association; Declarant as Member. During the Development Period, Declarant may appoint all members of the ACC and is entitled to remove and replace any of same, and in all other respects to exercise all rights and authority of the Association as set forth in this Declaration and other dedicatory instruments. Without limitation of the foregoing, the provisions of this Declaration or any other dedicatory instruments regarding qualifications for members of the ACC are hereby specifically declared inapplicable to Declarant during the Development and Declarant Control Periods.

Section 5.07. ACC Approval not Required; Declarant's ACC Authority as to Initial Development of Lots. Declarant and any Contractor as so designated by Declarant are not required to obtain ACC approval or otherwise comply with any provisions of this Article until completion of the initial sale of each Lot, and Declarant hereby reserves and retains full and exclusive authority of the ACC as to each Lot, until completion of the initial sale. The foregoing applies notwithstanding any other provisions of this Declaration or any other dedicatory instruments until completion of the initial sale of all Lots within the Subdivision. As to each Lot, “completion of the

initial sale” occurs upon substantial completion of the construction of a single-family residence and related improvements upon the Lot and the sale of the Lot to a person other than Declarant or a builder for use and occupancy of the Lot for a single-family dwelling.

Section 5.07. Resubdivision of Property. No Lot may be split, divided, or subdivided for sale, resale, gift, transfer, or otherwise, without the prior written approval of the ACC of plans and specifications for such split, division or subdivision. This provision shall not apply to the Declarant. Any Owner owning two or more adjoining Lots or portions of two or more such Lots may consolidate such Lots or portions thereof into a single building site for the purpose of constructing one residence and such other improvements as are permitted herein, provided, however, that no such building site shall contain less than seven thousand (7,000) square feet of land. Any consolidated Lot shall comply with all lawful requirements of any applicable statutes, ordinance or regulation.

Section 5.07. Construction Time and Right of Repurchase. Each Owner who acquires a Lot covenants and warrants to commence construction of the residence on the Lot within three hundred sixty-five (365) days from such Owners date of purchase of such Lot and to complete construction of the residence within three hundred sixty-five (365) days from the commencement of construction. “Complete construction” shall mean that point in time when City of San Benito issues a Certificate of Occupancy for the residence. In the event that (a) construction is not commenced within three hundred sixty-five (365) days from such Owner’s purchase, or (b) construction of the residence is not completed within twelve (12) months from the commencement of construction, then (i) a \$200 per day penalty will be assessed against the Lot until the completion of construction, and/or (ii) the Declarant shall have the right, but not the obligation, to repurchase the Lot for the same price that such Lot was originally sold by Declarant (hereafter the “Repurchase Consideration”). Should Declarant elect to purchase such Lot, then the Owner agrees to transfer, assign and convey such Lot to Declarant, free and clear of liens, claims and encumbrances whatsoever, upon the tender of the Repurchase Consideration to the Owner. Declarant may exercise this right of purchase by first providing the Owner with sixty (60) day written notice of default to the Owner which provides to the Owner the opportunity to begin construction within such sixty (60) day period. If Lot Owner does not cure such default, then Declarant may exercise its option to purchase such Lot by providing written notice of its election to purchase such Lot and the Closing shall occur within thirty (30) days after written notice is received by the Owner.

ARTICLE VI MAINTENANCE FUND

Section 6.01. Maintenance Fund Obligation. Each Owner, by acceptance of a deed to a Lot, whether or not it shall be expressed in any such deed or other conveyance, is deemed to covenant and agree to pay to the Association an annual Maintenance Charge, and any other assessments or charges hereby levied.

Section 6.02. Maintenance Charge. The Maintenance Charge shall be used to create the Maintenance Fund, which shall be used as herein provided; and each such Maintenance Charge (except as otherwise hereinafter provided) shall be paid by the Owner of each Lot to the

Association. The Maintenance Charge for the year of purchase shall be prorated at closing and then shall be paid annually, in advance, on or before the first day of the first month of each calendar year. Any Maintenance Charge not paid within thirty (30) days after the due date shall bear interest from the due date at the lesser of (i) the rate of eighteen percent (18%) per annum or (ii) the maximum rate permitted by law. The Association may bring an action at law against the Owner personally obligated to pay the same, or foreclose the hereinafter described lien against the Owner's Lot. No Owner may waive or otherwise escape liability for the Maintenance Charge by the non-use of any Common Areas or by the abandonment of his or her Lot. The initial amount of the Regular Assessment applicable to each Lot shall per year due in advance, payable on January 1st of each year. The initial amount of the Regular Assessments for each Lot shall be **\$360.00 per year**.

All other matters relating to the Maintenance Charge and the collection, expenditures and administration of the Maintenance Fund shall be determined by the Declarant or the Board of Directors of the Association, subject to the provisions hereof. The Association, shall have the right at any time, to adjust the Regular Assessment from year to year as it deems proper to meet the reasonable operating expenses and reserve requirements of the Association in order for the Association to carry out its duties hereunder.

Section 6.03. Technology Charge and Telecommunication Services.

(a) Each Owner shall pay a portion of the Association's Regular Assessments attributable to the Telecommunication Services, which covers the Owner's individual access to those services provided under a subdivision-wide agreement negotiated by the Declarant.

(b) A one-time Connection Fee in the amount of \$471.00 shall be assessed and collected upon the initial sale of a Lot by the Declarant. If not previously paid, this fee shall instead be due upon the earlier of: (i) the issuance of a Certificate of Occupancy for the residence constructed on the Lot, or (ii) a determination by the Association that construction is substantially complete. This fee is not part of the Regular Assessments and shall be payable only once per Lot.

(c) After a Lot is connected, the Association shall pay all monthly service charges to the provider on behalf of each Lot, subject to each Lot Owners actual payment of their assessments. These amounts, currently \$45.00 per Lot per month, shall be collected through Regular Assessments. The Board may adjust the amount of Regular Assessments annually to reflect increases or decreases in provider rates.

(d) Participation in the Telecommunication Services program is mandatory for all Lots so long as the subdivision-wide agreement remains in effect. Owners may not opt out of this service or withhold payment of any related fee, unless otherwise permitted in writing by the Board of Directors. NO OWNER MAY OPT OUT OF THIS TELECOMMUNICATION SERVICES ARRANGEMENT SO LONG AS THE SUBDIVISION-WIDE AGREEMENT REMAINS IN EFFECT, UNLESS OTHERWISE PERMITTED BY THE BOARD OF DIRECTORS.

(e) The Association shall have the right, but not the obligation, to renegotiate, extend, amend, or replace the Telecommunication Services provider agreement in its discretion, subject to applicable law and contractual obligations.

(f) The Association may, but is not required to, provide written notice of the charges set forth in this Article to closing agents or purchasers during resale transactions; however, it shall be the responsibility of each purchaser to verify all applicable fees through the resale certificate process.

(g) Notwithstanding anything in this Section 6.05 to the contrary, if an Owner becomes delinquent in the payment of Regular Assessments, including the portion allocated to Telecommunication Services, and fails to cure such delinquency within thirty (30) days after written notice is provided in accordance with Chapter 209 of the Texas Property Code, Telecommunication Services to the delinquent Lot may be suspended by the service provider. In no event shall the Association be obligated to pay or continue paying for Telecommunication Services for any Lot for which the Owner has failed to pay assessments when due. Suspension of service shall not relieve the Owner of liability for any unpaid assessments, late fees, or charges associated with reconnection.

Section 6.04. Special Assessment. In addition to the Regular Assessment, the Association may upon the affirmative vote of two-thirds (2/3) of the Members of the Association at a meeting duly called for such purpose levy a Special Assessment in any year for the purpose of defraying in whole or in part the cost of any construction, reconstruction, repair or replacement of capital improvements upon the Common Area, including fixtures and personal property. Notwithstanding the foregoing, if an emergency exists such that the Board of Directors determines that the repair of a capital improvement upon the Common Area is necessary to eliminate or reduce the risk of injury to third parties and there is not enough money held by the Association, in reserve or otherwise, to repair the capital improvement to reduce or eliminate this risk, the Board of Directors may levy a Special Assessment in an amount sufficient to repair the capital improvement to reduce or eliminate such risk without the affirmative vote of two-thirds (2/3) of the Members of the Association.

Section 6.05. Capital Budget and Contribution. The Board of Directors shall annually prepare a capital budget which shall take into account the number and nature of replaceable assets, the expected life of each asset, and the expected repair or replacement cost. The Board shall set the required capital contribution, if any, in an amount sufficient to meet the projected capital needs of the Association, as shown on the capital budget, with respect both to amount and timing by annual assessments over the period of the budget. The capital contribution required shall be fixed by the Board and included within the budget and general assessment. A copy of the capital budget shall be distributed to each Member in the same manner as the operating budget.

Section 6.06. Commencement Date of Annual Assessments. The Association shall levy the first annual Regular Assessment provided for herein, based on the operating budget for the remainder of the initial calendar year, on the first day of the month following the initial conveyance of the Common Area to the Association. Thereafter the Regular Assessments shall continue from calendar year to calendar year.

Section 6.07. Common Area Exempt. All Common Areas and all portions of the subdivision owned or otherwise dedicated to any political subdivision, shall be exempt from the assessments and liens created herein.

Section 6.08. Transfer and Other Fees. A transfer fee of may be charged by the Association or its Managing Agent to reflect changes of ownership, tenancy or occupancy on the records of the Association. The right and authority to set the amount of and receive payment of charges for statements of Maintenance Charges, Regular Assessments, Special Assessments or other indebtedness, resale certificates, and similar responses and transfer fees as aforesaid is deemed to be assigned by virtue of contracting with a Managing Agent to provide the associated functions and services for so long as the applicable contract remains in effect, unless the applicable contract expressly provides otherwise. The initial transfer fee shall be **\$75.00**.

ARTICLE VII COLLECTION OF MAINTENANCE CHARGES

Section 7.01. Creation of Lien and Personal Obligation. In order to secure the payment of the Maintenance Charge, and other charges and assessments hereby levied, each Owner of a Lot in the Subdivision, by such party's acceptance of a deed thereto, hereby grants to the Association a contractual lien on such Lot, which may be foreclosed judicially or by Expedited Foreclosure Proceedings, pursuant to the provisions of Section 209.0092 of the Act and Texas Rules of Civil Procedure Rules 735 and 736 (and any successor statutes); and each such Owner hereby expressly grants the Association a power of sale in connection therewith. Expedited Foreclosure Proceedings are not required under this section if the Owner of the Lot to be foreclosed agrees in writing to waive said Expedited Foreclosure Proceedings at the time the foreclosure is sought. A waiver under this section may not be required as a condition of the transfer of title to a Lot.

Section 7.02. Prerequisites to Foreclosure. Prior to referring an Owner's account to a collection agent, the Association is shall provide written notice, by certified mail, return receipt requested, that specifies each delinquent amount and the total amount of the payment required to make the account current, describes the options the Owner has to avoid the referral including payment plan options, and provides at least thirty (30) days to cure the delinquency before further action is taken.

Section 7.03. Collection Fees. Owners are not liable for costs that are dependent or contingent on amounts recovered, or under an agreement that does not require the Association to pay all fees for the action taken by the collection agent.

Section 7.04. Contact. An agreement between the Association and a collection agent may not prohibit an Owner from contacting the Association's Board of Directors or Managing Agent regarding their delinquency.

Section 7.05. Non-transferability of Lien. The Association shall not sell or transfer its interest in accounts receivable except for the purpose of collateral for a loan.

Section 7.06. Alternative Payment Schedule. Pursuant to Section 209.062 of the Act, the Association hereby adopts reasonable guidelines to establish an alternative payment schedule by which an owner may make partial payments for delinquent regular or special assessments or any other amount owed without incurring additional penalties. The Association hereby adopts the following guidelines with regard to alternative payment schedules for delinquent assessments and other amounts owed by an Owner:

(a) Term: The minimum term for a payment agreement shall be (3) three months and the maximum shall be (18) eighteen months from the date of the Owner's request for a payment plan. Subject to such minimum and maximum terms, the Association shall determine the appropriate term of the payment plan in its sole discretion.

(b) Form: Any and all alternative payment agreements shall be in writing and signed by the Owner and a duly authorized member of the Board of the Association.

(c) Additional Monetary Expense: So long as an Owner is not in default under the terms of the payment agreement, the Owner shall not incur additional monetary expenses; however, the Owner shall be responsible for all interest accruing during the term of the payment plan as well as reasonable costs associated with administering the payment plan or interest.

(d) Application of Payments: If at the time the Association receives a payment, the Owner is not in default under an alternative payment agreement, the Association shall apply the payment to the owner's debt in the following order of priority: (i) any delinquent assessment; (ii) any current assessment; (iii) any attorney's fees or third party collection costs incurred by the Association associated solely with assessments or any other charge that could provide the basis for foreclosure; (iv) any attorney's fees incurred by the Association that are not subject to subsection (iii); (v) any fines assessed by the Association; and (vi) any other amounts owed to the Association.

(e) Default: If the Owner defaults under a payment plan agreement, the account may immediately be turned over to the Association's attorney for collection. The Association shall not be required to enter into an alternative payment agreement with an Owner who failed to honor the terms of a previous payment agreement during the two (2) years following the Owner's default under the previous alternative payment agreement. At the discretion of the Association, an Owner who failed to honor the terms of a previous payment agreement may be required to waive Expedited Foreclosure Proceedings under Section 209.0092 of the Act as a condition to an additional alternative payment agreement. If, at any time the Association receives a payment from an Owner who is in default of an alternative payment agreement, the Association is not required to apply the payment in the order of priority specified by Paragraph 4, Sections (a) through (f) above.

The Association may reduce or waive some or all of the charges addressed by this policy on an *ad hoc* basis without waiving the right to charge such fees on future requests.

Section 7.07. Notice and Opportunity to Cure for Certain Other Lienholders. The Association may not foreclose its assessment lien by Expedited Foreclosure Proceedings or judicially unless it has: provided written notice by certified mail, return receipt requested, of the total amount of the delinquency to any other holder of a lien that is inferior or subordinate to the Association's lien and is evidenced by a deed of trust; and provided the recipient of the notice an opportunity to cure within sixty-one (61) days from the receipt of the notice.

Section 7.08. Foreclosure Sale Prohibited in Certain Circumstances. The Association may not foreclose its assessment lien for debts consisting solely of fines or attorneys' fees associated with the fines assessed, or for copy charges under its Open Records Policy, pursuant to § 209.005 of the Act.

Section 7.09. Assessment Lien Filing. In addition to the right of the Association to enforce the Maintenance Charge or other charge or assessment levied hereunder, the Association may file a claim of lien against the Lot of the delinquent Owner by recording a Notice of Lien setting forth (a) the amount of the claim of delinquency, (b) the interest thereon, (c) the costs of collection which have accrued thereon, (d) the legal description and street address of the Lot against which the lien is claimed and (e) the name of the Owner. The Notice of Lien shall be recorded in the Official Records of Cameron County, Texas, and is a legal instrument affecting title to a Lot, and shall be prepared by the Association's attorney. When all amounts claimed under the Notice of Lien and all other costs and assessments which may have accrued subsequent to the filing of the Notice of Lien have been fully paid or satisfied, the Association shall execute and record a notice of satisfaction of the delinquent assessment upon payment by the Owner of a reasonable fee as fixed by the Board of Directors to cover the preparation and recordation of such instrument.

Section 7.10. Attorney's Fees. All attorney's fees, costs, and other amounts collected from an Owner shall be deposited into an account maintained at a financial institution in the name of the Association or its Managing Agent. Only Board members or the Association's Managing Agent or employees of its Managing Agent may be signatories on the account. On written request from the Owner, the Association shall provide copies of invoices for attorney's fees and other costs relating only to the matter for which the Association seeks reimbursement of fees and costs.

Section 7.11. Notice After Foreclosure Sale. After the Association conducts a foreclosure sale of an Owner's Lot, the Association must send to the Owner and to each lienholder of record, not later than the thirtieth (30th) day after the date of the foreclosure sale, a written notice stating the date and time the sale occurred and informing the Lot Owner and each lienholder of record of the right of the Lot owner and lienholder to redeem the property. The notice must be sent by certified mail, return receipt requested, to the Lot Owner's last known mailing address, as reflected in the records of the Association, the address of each holder of a lien on the Lot subject to foreclosure evidenced by the most recent deed of trust filed of record in the real property records of the county in which the property is located, and the address of each transferee or assignee of a deed of trust who has provided notice to the Association of such assignment or transfer. Notice provided by a transferee or assignee to the Association shall be in writing, shall contain the mailing address of the transferee or assignee, and shall be mailed by certified mail, return receipt requested, or United States mail with signature confirmation to the Association according to the mailing

address of the Association pursuant to the most recent Management Certificate filed of record. If a recorded instrument does not include an address for the lienholder, the Association does not have a duty to notify the lienholder as provided by this section. For purposes of this section, the Lot Owner is deemed to have given approval for the Association to notify the lienholder. Not later than the thirtieth (30th) day after the date the Association sends the notice, the Association must record an affidavit in the Official Records, stating the date on which the notice was sent and containing a legal description of the Lot. Any person is entitled to rely conclusively on the information contained in the recorded affidavit. The notice requirements of this section also apply to the sale of an Owner's Lot by a sheriff or constable conducted as provided by a judgment obtained by the Association.

Section 7.12. Right of Redemption After Foreclosure. The Owner of a Lot in the Subdivision or a lienholder of record may redeem the property from any purchaser at a sale foreclosing the Association's assessment lien not later than the one hundred eightieth (180th) day after the date the Association mails written notice of the sale to the Owner and the lienholder under Sections 209.010 and 209.011 of the Act. A lienholder of record may not redeem the Lot as provided herein before ninety (90) days after the date the Association mails written notice of the sale to the Lot Owner and the lienholder under the Act, and only if the Lot Owner has not previously redeemed. A person who purchases a Lot at a sale foreclosing the Association's assessment lien may not transfer ownership of the Lot to a person other than a redeeming Lot Owner during the redemption period.

Section 7.13. Removal of Foreclosure Authority. The right to foreclose the lien on real property for unpaid amounts due to the Association may be removed by a vote of at least sixty-seven percent (67%) of the total votes allocated in the Association. Owners holding at least ten percent (10%) of all voting interests may petition the Association and require a special meeting to be called for the purposes of taking a vote for the purposes of this section. This section is required pursuant to §209.0093 of the Act, and should this provision be amended or repealed in any form, this section shall be deemed to be automatically amended or repealed in accordance therewith.

Section 7.14. Right of Declarant to Set Rate. During the Development Period, Declarant is entitled to change the annual rate of a Regular or Special Assessment as set forth in this section without the joinder, vote, or consent of any Owner and without further formality than giving notice. Without limitation to the foregoing, the provisions regarding disapproval of an annual rate of Regular or Special Assessments is specifically declared inapplicable when the rate is set by Declarant under this section.

Section 7.15. Payment of Assessments by Declarant during Development Period. Notwithstanding any provision herein to the contrary, so long as a Class "B" membership exists, Declarant shall pay twenty-five percent (25%) of the Regular Assessment Declarant would owe pursuant to this Declaration as a Class "A" Member; and, as long as Declarant is a Class "B" Member, Declarant, or any assigns of Declarant, shall pay any deficiency in the operating budget, less capital contributions and reserves for the Common Expenses for the Subdivision, which deficiency shall be reimbursed to Declarant by the Association as funds become available.

Section 7.16. Assessments for Contractors. From the date a Contractor acquires a Lot until the earlier of (a) the date a residence is constructed thereon and sold to another person or (b)

the date which is eighteen (18) months thereafter, each Contractor shall pay fifty percent (50%) of the Assessments such Contractor would owe pursuant to this Declaration as a Class “A” Member.

ARTICLE VIII DUTIES AND POWERS OF THE ASSOCIATION

Section 8.01. General Duties and Powers of the Association. The Association has been formed to further the common interest of the Members. The Association, acting through the Board of Directors or through persons to whom the Board of Directors has delegated such powers (and subject to the provisions of the Bylaws), shall have the duties and powers hereinafter set forth and, in general, the power to do anything that may be necessary or desirable to further the common interest of the members, to maintain, improve and enhance the Common Areas and to improve and enhance the attractiveness, desirability and safety of the Subdivision. The Association shall have the authority to act as the agent to enter into any and all contracts on behalf of the Members in order to carry out the duties, powers and obligations of the Association as set forth in this Declaration and other dedicatory instruments.

Section 8.02. Duty to Manage and Care for the Common Area. The Association shall manage, operate, care for, maintain and repair all Common Areas and keep the same in a safe, attractive and desirable condition for the use and enjoyment of the Members. The duty to operate, manage and maintain the Common Areas shall include, but not be limited to the management, maintenance, repair and upkeep of the Subdivision and Common Areas.

Section 8.03. Duty to Insure. The Association shall obtain such insurance as may be required by law, and as the Association shall deem necessary or desirable.

Section 8.04. Duty to Prepare Annual Budget. The Association shall prepare annual budgets for the Association, which shall include a reserve fund for the maintenance of the Common Areas.

Section 8.05. Duty to Levy and Collect the Maintenance Charge. The Association shall levy, collect and enforce the Maintenance Charge and other charges and assessments as elsewhere provided in this Declaration.

Section 8.06. Duty to Provide Annual Review. The Association shall provide for an annual un-audited independent review of the accounts of the Association. Copies of the review shall be made available to any Member who requests a copy of the same upon payment by such Member of the reasonable cost of copying, pursuant to the Association’s Open Records Policy, pursuant to § 209.005 of the Act.

Section 8.07. Duties with Respect to Architectural Approvals. The Association shall perform functions to assist the ACC as elsewhere provided in this Declaration.

Section 8.08. Duty to Prepare and Record Management Certificates. The Association shall record in the Official Public Records of Real Property of Cameron County a Management Certificate, signed by an officer of the Association, or the Managing Agent stating the name of the

Subdivision, the name of the Association, the recording data of the Subdivision, the recording data of this Declaration, the name and mailing address of the Association, the name and mailing address of the Association's Managing Agent or designated representative, and other information the Association considers appropriate. The Association shall record an amended Management Certificate not later than the thirtieth (30th) day after the Association has a change in any information required herein. The Association, and its officers, Directors, employees, and agents are not subject to liability to any person for a delay in recording, or a failure to record the Management Certificate, unless the delay or failure is caused by gross negligence.

Section 8.09. Power to Acquire Additional Property and Construct Improvements. The Association may acquire additional property (including leases) for the common benefit of Owners including improvements and personal property. The Association may construct improvements on such property and may demolish existing improvements.

Section 8.10. Power to Adopt Rules and Regulations. The Association may adopt, amend, repeal and enforce Rules and Regulations, and levy fines, as may be deemed necessary or desirable with respect to the interpretation and implementation of this Declaration, the operation of the Association, the use and enjoyment of the Common Areas, and the use of any other property, facilities or improvements owned or operated by the Association.

Section 8.11. Declarant Authority to Establish Community-Wide Services. During the Declarant Control Period, the Declarant shall have the exclusive authority, but not the obligation, to cause the Association to enter into contracts for community-wide services that benefit the Subdivision, including but not limited to telecommunications, broadband internet, security monitoring, bulk utilities, or bundled technology services, provided that such services are generally available for use by all Lots and serve a common benefit. The Association may, at the direction of the Declarant, assess Owners for the cost of such community-wide services as a component of the Regular Assessment or as a separate assessment designated for the specific service. All Owners shall be required to participate in and pay for such services during the term of the contract, and the obligation shall be binding on each Lot as part of the Owner's assessment obligations under this Declaration. Nothing in this Article shall be construed to limit the Association's authority, following the Declarant Control Period, to enter into or renew similar or identical contracts, provided such actions are duly authorized by the Board of Directors pursuant to the procedures and requirements set forth in the Declaration, Bylaws, or applicable law. However, after the expiration of the Declarant Control Period, the Association shall not be obligated to maintain, renew, or continue any such contract unless it is approved by the Board of Directors.

ARTICLE IX ENFORCEMENT

Section 9.1. Power to Enforce Restrictions Contained in Association Dedicatory Instruments. The Association or their designated agent shall have the power, but not the obligation, to enforce the provisions of this Declaration, Bylaws, Design Guidelines and the Rules and Regulations and shall take such action as the Board of Directors deems necessary or desirable to cause such compliance by each Owner. Without limiting the generality of the foregoing, the

Association shall have the power to enforce the provisions of the dedicatory instruments by any one or more of the following means: (a) by entry upon any Lot within the Subdivision, after notice and hearing (unless a bona fide emergency exists in which event this right of entry may be exercised without written or oral notice to the Owner in such manner as to avoid any unreasonable or unnecessary interference with the lawful possession, use or enjoyment of the improvements situated thereon by the Owner or any other person), without liability in trespass or otherwise by the Association to the Owner thereof, for the purpose of enforcement; (b) by commencing and maintaining actions and suits to restrain and enjoin any breach or threatened breach; (c) by exclusion, after notice and hearing, of any Owner from use of any recreational facilities within the Common Areas during and for up to sixty (60) days following any breach, unless the breach is a continuing breach in which case such suspension shall continue for so long as such breach continues; (d) by levying and collecting, after notice and hearing, reimbursement to the Association for the costs incurred by the Association (including, but not limited to pre-litigation attorney's fees) in connection with the remedy of such breach; (e) by levying and collecting, after notice and hearing, reasonable and uniformly applied fines and penalties established in advance in the Rules and Regulations of the Association, from any Member for breach of the dedicatory instruments; and/or (f) by taking action itself to cure or abate such violation and to charge the expenses thereof, if any, to such violating Owner, plus attorney's fees incurred by the Association with respect to exercising such remedy.

Section 9.2. Duty to Provide Notice Before Enforcement Action. Before the Association may suspend an Owner's right to use the Common Area, file a suit against an Owner other than a suit to collect a Maintenance Charge, or a Regular or Special Assessment or foreclose under the Association's lien, charge an Owner for property damage, or levy a fine for a violation of the Declaration, Bylaws, Design Guidelines, or Rules and Regulations, the Association or its Managing Agent must give written notice to the Owner by certified mail, return receipt requested. The notice must describe the violation or property damage that is the basis for the suspension action, charge, or fine and state any amount due the Association from the Owner and inform the Owner that the Owner is entitled to a reasonable period to cure the violation and avoid the fine or suspension (unless the Owner was given notice and a reasonable opportunity to cure a similar violation within the preceding six months), may request a hearing under Section 209.007 of the Act on or before the thirtieth (30th) day after the date the Owner receives the notice, and may have special rights or relief related to the enforcement action under federal law, including the Servicemembers Civil Relief Act (50 U.S.C. app. Section 501 et seq.), if the Owner is serving on active military duty.

Section 9.3. Hearing Before Board; Alternative Dispute Resolution. If the Owner is entitled to an opportunity to cure the violation, the Owner has the right to submit a written request for a hearing to discuss and verify facts and resolve the matter in issue before a committee appointed by the Board or before the Board of Directors if a committee is not appointed. If a hearing is to be held before a committee, the notice prescribed by Section 209.006 of the Act must state that the Owner has the right to appeal the committee's decision to the Board by written notice. The Association shall hold a hearing under this section not later than the thirtieth (30th) day after the date the Board receives the Owner's request for a hearing and shall notify the Owner of the date, time, and place of the hearing not later than the tenth (10th) day before the date of the hearing. The Board or the owner may request a postponement, and, if requested, a postponement shall be

granted for a period of not more than ten (10) days. Additional postponements may be granted by agreement of the parties. The Owner or the Association may make an audio recording of the meeting. The Association shall hold a hearing under this section not later than the thirtieth (30th) day after the date the Board receives the Owner's request for a hearing and shall notify the Owner of the date, time, and place of the hearing not later than the tenth (10th) day before the date of the hearing. The Board or the Owner may request a postponement, and, if requested, a postponement shall be granted for a period of not more than ten (10) days. Additional postponements may be granted by agreement of the parties. The Owner or the Association may make an audio recording of the meeting and may use alternative dispute resolution services. The Owner's presence is not required to hold a hearing.

Section 9.4. Attorney's Fees. The Association may collect reimbursement of reasonable attorney's fees and other reasonable costs incurred by the Association relating to collecting amounts, including damages, due the Association for enforcing restrictions contained in its dedicatory instruments only if the Owner is provided a written notice that attorney's fees and costs will be charged to the Owner if the delinquency or violation continues after a date certain. An Owner is not liable for attorney's fees incurred by the Association relating to a matter described by the notice under this section if the attorney's fees are incurred before the conclusion of the hearing; or, if the Owner does not request a hearing, before the date by which the Owner must request a hearing. All attorney's fees, costs, and other amounts collected from an Owner shall be deposited into an account maintained at a financial institution in the name of the Association or its Managing Agent. Only Board members or the Association's Managing Agent or employees of its Managing Agent may be signatories on the account. On written request from the Owner, the Association shall provide copies of invoices for attorney's fees and other costs relating only to the matter for which the Association seeks reimbursement of fees and costs.

9.5. Limitation of Liability. Notwithstanding any provision in this Declaration or other dedicatory instrument to the contrary, the Association shall have the right, but not the obligation, to enforce any covenant, restriction, rule, regulation, or obligation contained herein or in any other governing instrument of the Association. The Association may, in its sole and absolute discretion, determine whether to initiate enforcement proceedings in any particular case and shall not be liable to any Owner or third party for any actual or alleged failure to enforce the provisions of this Declaration, the Bylaws, the Rules and Regulations, or any other governing instrument. No affirmative duty to act shall be implied from any grant of authority, and the Association shall not be liable for any alleged damages, personal injuries, or losses arising from or related to any alleged failure to enforce any covenant, condition, restriction, or rule. All Owners and occupants of Lots acknowledge and agree that enforcement decisions are inherently discretionary and may vary based on the specific circumstances of each situation, including cost, likelihood of success, or overall community benefit.

ARTICLE X SUBDIVISION INFORMATION

Section 10.1. Delivery of Subdivision Information to Owner. Not later than the tenth (10th) business day after the date a written request for Subdivision information is received from an Owner or the Owner's agent, a purchaser of a Lot or Lots in the Subdivision or the purchaser's

agent, or a title insurance company or its agent acting on behalf of the Owner or purchaser, and the evidence of the requestor's authority to order a resale certificate is received and verified, the Association shall deliver to the Owner or the Owner's agent, the purchaser or the purchaser's agent, or the title insurance company or its agent a current copy of the Declaration, Bylaws and Rules of the Association and a resale certificate prepared not earlier than the sixtieth (60th) day before the date of delivery that complies with Texas Property Code § 207.003. For a request from a purchaser of property in the Subdivision or the purchaser's agent, the Association may require the purchaser or purchaser's agent to provide to the Association, before the Association begins the process of preparing or delivers the items listed, reasonable evidence that the purchaser has a contractual or other right to acquire property in the Subdivision. A resale certificate must contain a statement of any right of first refusal, other than a right of first refusal that is prohibited by statute, and any other restraint contained in the dedicatory instruments that restricts the Owner's right to transfer the Owner's Lot, the frequency and amount of any Maintenance Charge and Regular Assessments, the amount and purpose of any Special Assessment that has been approved before and is due after the resale certificate is delivered, the total of all amounts due and unpaid to the Association that are attributable to the Owner's Lot, capital expenditures, if any, approved by the Association for the current fiscal year, the amount of reserves, if any, for capital expenditures, the Association's current operating budget and balance sheet, the total of any unsatisfied judgments against the Association, the style and cause number of any pending lawsuit in which the Association is a party, other than a lawsuit relating to unpaid *ad valorem* taxes of an individual member of the Association, a copy of a certificate of insurance showing the Association's property and liability insurance relating to the Common Areas and common facilities, a description of any conditions on the Owner's Lot that the Board has actual knowledge are in violation of the Declaration or Bylaws or Rules, a summary or copy of notices received by the Association from any governmental authority regarding health or housing code violations existing on the preparation date of the resale certificate relating to the Owner's Lot or any Common Areas, the amount of any administrative or transfer fee charged by the Association or its Managing Agent for a change of ownership of Lots in the Subdivision, the name, mailing address, and telephone number of the Association's Managing Agent, a statement indicating whether the restrictions allow foreclosure of the Association's lien on the Owner's Lot for failure to pay assessments, and a statement of all fees associated with the transfer of ownership, including a description of each fee, to whom each fee is paid, and the amount of each fee. The Association may charge a reasonable fee to assemble, copy, and deliver the information required by this section and may charge a reasonable fee to prepare and deliver an update of a resale certificate. The Association may require payment before beginning the process of providing a resale certificate but may not process a payment until the resale certificate is available for delivery. The Association may not charge a fee if the resale certificate is not provided in the time prescribed. The Association shall deliver the information required to the person specified in the written request. A written request that does not specify the name and location to which the information is to be sent is not effective. The Association may deliver the information required and any update to the resale certificate by mail, hand delivery, or alternative delivery means specified in the written request. Neither the Association nor its Managing Agent is required to inspect a Lot before issuing a resale certificate or an update. Not later than the seventh (7th) business day after the date a written request for an update of a resale certificate is received from an Owner, Owner's agent, or title insurance company, the Association shall deliver to the Owner, Owner's agent, or title insurance company or its agent an updated resale certificate that contains the following information: if a right of first refusal or other restraint on

sale is contained in the dedicatory instruments, a statement of whether the Association waives the restraint on sale; the status of any unpaid Regular or Special Assessments, Maintenance Charges, dues, or other payments attributable to the Owner's Lot(s); and any changes to the information provided in the resale certificate issued previously. Requests for an updated resale certificate must be made within one hundred eighty (180) days of the date the original resale certificate was issued. The updated request may be made only by the party requesting the original resale certificate.

Section 10.2. Online Subdivision Information Required. The Association shall make the dedicatory instruments relating to the Subdivision and filed in the county deed records available on its website if the Association has, or its Managing Agent on behalf of the Association maintains, a publicly accessible website.

ARTICLE XI GENERAL PROVISIONS

Section 11.01. Term. The provisions hereof shall run with all Lots within the Subdivision and in the Subdivision and shall be binding upon all Owners and all persons claiming under them for a period of twenty (20) years from the date this Declaration is recorded, after which time this Declaration shall be automatically extended for successive periods of ten (10) years each.

Section 11.02. Amendment.

(a) By Declarant. Declarant, during the Development and Declarant Control Periods, reserves the sole and exclusive right, without joinder or consent of any Owner, to (i) amend, restate, modify or repeal, this Declaration and other dedicatory instruments; (ii) amend, revise, modify, or vacate any Plat; and (iii) annex and subject any other property to the scheme of this Declaration, provided that any annexation is not inconsistent with the scheme of the Subdivision. This Declaration or other dedicatory instrument of the Subdivision may not be amended during the period of time between which Declarant loses the majority of voting rights and the time a new Board of Directors of the Association, consisting of Owner Members, assumes office.

(b) By Owners. This Declaration may be amended or restated by the written agreement or by signed ballots voting for such of not less than sixty-seven percent (67%) of all of the Owners in the Subdivision. There shall be one (1) vote per Lot. Anyone owning more than one Lot shall have one vote for each Lot owned. Such amendment must be approved by said Owners within three hundred and sixty-five (365) days of the date the first Owner executes such amendment. Otherwise, such amendment shall fail. If the amendment is adopted, it shall bind and affect the respective Lots whose Owners shall approve such amendment from the time after the date such amendment is approved by each Owner. The date an Owner's signature is acknowledged shall constitute *prima facie* evidence of the date of execution and adoption of said amendment by such Owner. Those Members entitled to cast not less than sixty-seven percent (67%) of all of the votes of the Association may also vote to amend this Declaration, in person, or by proxy, at a meeting of the Members duly called for such purpose, written notice of which shall be given to all Owners at least ten (10) days and not more than sixty (60) days in advance and shall set

forth the purpose of such meeting. Any such amendment shall become effective when an instrument is filed for record in the Official Public Records of Real Property of Cameron County, Texas, accompanied by a certificate, signed by a majority of the Board of Directors, stating that the required number of Members voted in favor of the instrument amending this Declaration or cast a written vote, in person or by proxy, in favor of said amendment at the meeting called for such purpose.

(c) By the Association. The Board of Directors has the right in its sole judgment, from time to time, and at any time, to amend this Declaration without joinder of any Owner or Member for the following purposes:

(i) to resolve or clarify any ambiguity or conflicts herein, or to correct any inadvertent misstatements, errors, or omissions herein;

(ii) to conform this Declaration to the requirements of any lending institution; provided, the Board has no obligation whatsoever to amend this Declaration in accordance with any such lending institution requirements, and the Board may not so amend this Declaration if, in the sole opinion of the Board, any substantive and substantial rights of Owners would be adversely affected thereby;

(iii) to conform this Declaration to the requirements of any governmental agency, including the Federal Home Loan Mortgage Corporation, Federal National Mortgage Agency, Veterans Administration, or Federal Housing Administration, and in this respect, the Board shall so amend this Declaration to the extent required by law upon receipt of written notice of such requirements and request for compliance;

(vi) to amend the Rules and Regulations of the Association, if the Board deems appropriate to comply with the scheme of the Declaration and the Subdivision; or

(v) to amend the alternative payment schedule for certain assessments, open records policy, records retention policy, and/or other policies to comply with the Act.

Section 11.03. Severability. Each of the provisions of this Declaration shall be deemed independent and severable and the invalidity of unenforceability or partial invalidity or partial unenforceability of any provision or portion hereof shall not affect the validity or enforceability of any other provision.

Section 11.04. Liberal Interpretation. The provisions of this Declaration shall be liberally construed as a whole to effectuate the purpose and intent of this Declaration.

Section 11.05. Successors and Assigns. The provisions hereof shall be binding upon and inure to the benefit of the Owners and the Association, and respective heirs, legal representatives, executors, administrators, successors and assigns.

Section 11.06. Effect of Violations on Mortgages. No violation of the provisions herein contained, or any portion thereof, shall affect the lien of any mortgage or deed of trust presently or hereafter placed of record or otherwise affect the rights of the mortgagee under any such mortgage, the holder of any such lien or beneficiary of any such deed of trust; and any such mortgage, lien or deed of trust may, nevertheless, be enforced in accordance with its terms, subject, nevertheless, to the provisions herein contained.

Section 11.07. Terminology. All personal pronouns used in this Declaration and exhibits attached, if any, whether used in the masculine, feminine or neuter gender, shall include all other genders, the singular shall include the plural and vice versa. Titles of articles and sections are for convenience only and neither limit nor amplify the provisions of this Declaration itself.

Section 11.08. Number and Gender. Pronouns, whenever used herein, and of whatever gender, shall include natural persons and corporations, entities and associations of every kind and character, and the singular shall include the plural, and vice versa, whenever and as often as may be appropriate.

Section 11.09. No Representations or Warranties. No representations or warranties of any kind, express or implied, shall be deemed to have been given or made by the Association or its agents or employees in connection with any portion of the Subdivision, or any improvement thereon, it's or their physical condition, compliance with applicable laws, fitness for intended use, or in connection with the sale, operation, maintenance, cost of maintenance, taxes, or regulation thereof, unless and except as specifically shall be set forth in writing.

Section 11.10. Captions. The titles, headings, captions, articles and section numbers used in this Declaration are intended solely for convenience of reference and shall not be considered in construing any of the provisions of this Declaration. Unless the context otherwise requires, references herein to articles and sections are to articles and sections of this Declaration.

Section 11.11. Not a Condominium. This Declaration does not and is not intended to create a condominium within the meaning of the Texas Condominium Act.

Section 11.12. Governing Law. This Declaration shall be construed and governed under the laws of the State of Texas.

Section 11.13. MANDATORY TELECOMMUNICATION SERVICE NOTICE. EACH LOT IN THE SUBDIVISION SHALL BE AUTOMATICALLY ENROLLED IN THE ASSOCIATION'S BROADBAND SERVICE CONTRACT, AND PARTICIPATION IS MANDATORY UNLESS OTHERWISE APPROVED BY THE BOARD. PROSPECTIVE BUYERS SHOULD BE AWARE OF THEIR OBLIGATIONS UNDER DECLARATION WITH RESPECT TO TELECOMMUNICATION SERVICES, INCLUDING BUT NOT LIMITED TO, THE SERVICE PROVIDERS ABILITY TO SUSPEND SERVICES IN THE EVENT OF NON-PAYMENT.

ARTICLE XII MORTGAGEE PROVISIONS

The following provisions are for the benefit of holders of first Mortgages on Lots in the Development. The provisions of this Article apply to both this Declaration and to the Bylaws, notwithstanding any other provisions contained therein.

Section 12.01. Notice of Action. An institutional holder, insurer, or guarantor of a first Mortgage who provided written request to the Association (such request to state the name and address of such holder, insurer, guarantor and the Lot number, therefore becoming an “eligible holder”) will be entitled to timely written notice of:

(a) any condemnation loss or any casualty loss which affects a material portion of the Development or which affects any Lot on which there is a first Mortgage held, insured or guaranteed by such eligible holder;

(b) any delinquency in the payment of assessments or charges owned by an Owner of a Lot subject to the Mortgage of such eligible holder which such delinquency has continued for a period of sixty (60) days; provided, however, notwithstanding this provision, any holder of a first Mortgage, upon request, is entitled to written notice from the Association of any default in the performance by an Owner of a Lot of any obligation under the Declaration or Bylaws of the Association which is not cured within sixty (60) days;

(c) any lapse, cancellation, or material modification of any insurance policy maintained by the Association; or

(d) any proposed action which would require the consent of a specified percentage of eligible Mortgagees.

Section 12.02. Right to Records. Upon written request in accordance with Section 13.01, all eligible holders shall:

(a) be entitled to attend and observe all meetings of Owners, but not meetings of the Board;

(b) be furnished with copies of annual financial reports made to the Owners; and

(c) be entitled to inspect the financial bonds and records of the Association during reasonable business hours.

Section 12.03. Right to Records.

(a) At all times during the term of this Declaration the Association, its successors and assigns, shall be required to keep any and all recreational facilities and any

other improvements located on the Common Property fully insured by a reputable insurance company authorized to transact business in the State of Texas with (i) fire, vandalism, malicious mischief and extended coverage insurance in an amount adequate to cover the cost or replacement of such improvements in the event of loss of any and/or all of such improvements, fixtures and contents thereof; (ii) public liability insurance in such amounts as shall be determined by the Board of Directors as appropriate for the type of recreational activities which shall be allowed on the Common Property, (iii) directors and officers insurance in such amounts as shall be determined by the Board of Directors and (iv) fidelity insurance in such amounts as shall be determined by the Board of Directors. All property insurance policies shall be for the benefit of the Association and, to the extent that Declarant owns any portion of the Common Property, for the benefit of Declarant, as their interests may appear, their successors and assigns. All liability insurance shall contain cross-liability endorsements to cover liability of the Association to an individual Owner, and shall also name the Declarant as an additional insured. Any such policies of insurance shall require that the certificate holders and insured be given thirty (30) days prior written notice of any cancellation of such policies;

(b) Immediately after the damage or destruction by fire or other casualty to all or any portion of any improvement covered by insurance written in the name of the Association, the Board or its duly authorized agent shall proceed with the filing and adjustment of all claims arising under such insurance and obtain reliable and detailed estimates of the cost of repair or reconstruction of the damaged or destroyed property. Repair or reconstruction, as used in this paragraph, means repairing or restoring the property to substantially the same condition and location that existed prior to the fire or other casualty. Any damage or destruction shall be repaired or reconstructed unless, within sixty (60) days after the casualty, at least seventy-five percent (75%) of the total Association entitled to vote thereon, and, for so long as the Declarant owns at least one (1) Lot primarily for purpose of sale or has an unexpired option to add Additional Property, the Declarant, otherwise agree. If for any reason either the amount of the insurance proceeds to be paid as a result of such damage or destructions, or reliable and detailed estimates of the cost of repair or reconstruction, or both, are not made available to the Association within such period, then the period shall be extended until such information shall be made available; provided, however, such extension shall not exceed one hundred and twenty (120) days. No Mortgagee shall have the right to participate in the determination of whether damage or destruction shall be repaired or reconstructed. If the damage or destruction for which the insurance proceeds are paid is to be repaired or reconstructed and such proceeds are not sufficient to defray the cost thereof, the Board shall, without the necessity of a vote of the Association's Members, levy a special assessment. Additional assessments may be made in like manner at any time during or following the completion of any repair or reconstruction. If the funds available from insurance exceed the costs of repair or reconstruction or if the improvements are not repaired or reconstructed, such excess shall be deposited for the benefit of the Association. In the event that it should be determined by the Association in the manner described above that the damage or destruction shall not be repaired or reconstructed and no alternative improvements are authorized, then in that event the property shall be restored to its natural

state and maintained as an undeveloped portion of the Community in a neat and attractive condition.

(c) The deductible for any casualty insurance policy carried by the Association shall, in the event of damage or destruction, be allocated among the Persons who are responsible hereunder for maintenance of the damaged or destroyed property.

Section 12.02. No Priority. No provision of this Declaration or the Bylaws gives or shall be construed as giving any Owner or other party priority over any rights of the first Mortgagee of any Lot in the cases of distribution to such Owner of insurance proceeds or condemnation awards for losses to or a taking of the Common Property.

Section 12.02. Notice to Association. Upon request, each Owner shall be obligated to furnish to the Association the name and address of the holder of any Mortgage encumbering such Owner's Residence.

Section 12.02 Amendment by Board. Should the Department of Veterans Affairs, the Federal Housing Administration, the Federal National Mortgage Association, or the Federal Home Loan Mortgage Corporation subsequently delete any of their respective requirements which may have necessitated the provisions of this Article or make such requirements less stringent, the Board, without approval of the Owners, may cause an amendment to this Article to be recorded to reflect such changes.

Section 12.02 Applicability of Article. Nothing contained in this Article shall be construed to reduce the percentage vote that must otherwise be obtained under the Declaration, Bylaws, or Texas law for any of the acts set out in this Article.

Section 12.02 Failure of Mortgagee to Respond. Any Mortgagee who receives a written request from the Board to respond to or consent to any action, including but not limited to the amendment of this Declaration, shall be deemed to have approved such action if the Association does not receive a written response from the Mortgagee within thirty (30) days of receipt of any such request sent by or at the direction of the Association by certified mail, return receipt requested.

ARTICLE XIII DOCUMENTS AND RECORDS OF THE ASSOCIATION

Section 13.01 The Association shall from time-to-time adopt a Document Retention Policy. By this Declaration, the Association adopts the current Document Retention Policy attached hereto as **EXHIBIT D.**

Section 13.02 The Association shall from time-to-time adopt a Records Production and Copying Policy. By this Declaration, the Association adopts the current Records Production and Copying Policy attached hereto as **EXHIBIT E.**

IN WITNESS WHEREOF, Declarant executes this Declaration, effective on the 1st day of July, 2025.

DECLARANT:

**MESA-BEGA DEVELOPMENT, LLC,
A Texas limited liability company**

**By: _____
Cynthia Hernandez,
Authorized Representative**

ACKNOWLEDGMENT

THE STATE OF TEXAS §
 §
COUNTY OF CAMERON §

THIS INSTRUMENT was acknowledged, before me, the undersigned notary public, on the ____ day of _____, 2025, by Cynthia Hernandez, the Authorized Representative of MESA-BEGA DEVELOPMENT, LLC, a Texas limited liability company, on behalf of said company

Notary Public for the State of Texas

AFTER RECORDING RETURN TO:

MASA-BEGA DEVELOPMENT, LLC
30351 Business 777
San Benito, Texas 78586

PREPARED IN THE LAW OFFICE OF:

SANCHEZ, WHITTINGTON
OROZCO & WOOD, LLC
3505 Boca Chica Blvd., Suite 100
Brownsville, Texas 78521
(956) 546-3731 - Telephone
File No. 38618